

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MARINE TRANSPORT LOGISTICS, INC., *Complainant*

v.

CMA-CGM (AMERICA), LLC, *Respondent*.

DOCKET NO. 22-23

Served: December 8, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON REVISED MOTION TO AMEND COMPLAINT AND MOTION TO DISMISS

I. Introduction and Procedural Background

On September 7, 2022, a Notice of Filing of Complaint and Assignment (“Notice”) was issued for this proceeding by the Federal Maritime Commission (“FMC” or “Commission”), stating that Marine Transport Logistics, Inc. (“MTL”) had filed a complaint against CMA-CGM (America), LLC (“CCA”) alleging that CCA violated 46 U.S.C. § 41102(c) of the Shipping Act with regard to the shipment of MTL’s container cargo and charges incurred as a result.

On October 3, 2022, CCA filed a motion to dismiss MTL’s complaint (“Dismissal Motion”). On October 11, 2022, MTL filed a combined response to the motion to dismiss and motion for leave to amend its complaint (“Dismissal Opposition and Amended Complaint Motion”), to which it attached the proposed amended complaint, which added new allegations and a new Respondent, CMA CGM S.A. (“CMA CGM”). On October 18, 2022, CCA filed a combined response to the amended complaint motion and reply to the dismissal (“Response to Amended Complaint Motion and Dismissal Reply”).

On October 28, 2022, an order was issued denying the motion to amend the complaint without prejudice and requiring that a renewed motion to amend the complaint be filed by November 7, 2022. On November 7, 2022, Complainant filed a motion seeking leave to file a revised amended complaint with a copy of the revised amended complaint (“Revised Amended Complaint Motion”). On November 14, 2022, Respondent CCA filed Respondent’s reply to Complainant’s motion for leave to file the revised amended complaint (“Revised Amended Complaint Opposition”).

For the reasons set forth below, MTL’s motion to file the revised amended complaint is granted and CCA’s motion to dismiss is denied as moot. By copy of this order, the Office of the Secretary is requested to serve the amended complaint on CMA CGM. Both Respondents must file a response to the amended complaint within 25 days after the date of service, and the parties shall file a joint status report within 15 days of the answer, as required by the initial order.

II. Motion to File Revised Amended Complaint

A. Arguments of the Parties

The initial amended complaint added both additional allegations and a new Respondent. The revised amended complaint primarily identifies an address for the new Respondent. The arguments in both the initial motion and response and the revised motion and response are relevant.

Complainant initially contended that the amended complaint adds CMA CGM as a Respondent, thereby addressing CCA's contention in its motion to dismiss that the Commission lacks jurisdiction over CCA because CCA is an agent for CMA CGM, a vessel-operating common carrier, and Complainant further contended that both the original complaint and the amended complaint "imply a 'practice,'" and thus that the alleged facts and the parties are sufficient to give the Commission personal and subject matter jurisdiction over the claim. Dismissal Opposition and Amended Complaint Motion at 1-3. Complainant noted that under Federal Rule of Civil Procedure 15(a)(2), leave to amend a complaint should be freely given when justice so requires. Dismissal Opposition and Amended Complaint Motion at 1.

Complainant contends in the revised amended complaint motion that it was informed that CCA does not have authority to accept service of process on behalf of CMA CGM, which MTL says "is a strange position to take when the current Respondent appears to hold itself out as the agent for CMA-CGM S.A. in all aspects of a shipping transaction" and represents CMA CGM in other proceedings. Revised Amended Complaint Motion at 1. Moreover, Complainant asserts that this is the pre-Answer stage, there is no prejudice, and there is no basis to dismiss the revised amended complaint. Revised Amended Complaint Motion at 2.

In its initial reply, CCA stated that it would not object to MTL's motion to amend, subject to the following conditions: CCA is deleted as a respondent in the amended complaint; the amended complaint is "filed in the same manner as an original pleading;" the amended complaint is verified; the amended complaint is "timely filed by a date to be determined by the Presiding Officer;" served on CMA CGM S.A.; and, "the time for Respondent CMA CGM S.A. to respond to the Amended Complaint . . . must restart." Response to Amended Complaint Motion and Dismissal Reply at 1-3.

CCA contends that the revised motion to amend the complaint should be denied as futile as it would be subject to a motion to dismiss if CCA remains as a Respondent, arguing that CCA is not a regulated entity subject to the Commission's adjudicatory authority. Revised Amended Complaint Opposition at 1-2. CCA further asserts that CMA CGM must be served and then CMA CGM can either accept service or indicate its opposition. Revised Amended Complaint Opposition at 3-4.

B. Discussion

Commission Rule 66(a) provides in pertinent part that amendments "will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issue, without opportunity to reply to such amended pleading and to prepare for the broadened issues." 46 C.F.R. § 502.66(a).

The rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), “a party may amend its pleading once as a matter of course” within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with opposing party’s written consent or leave of court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). “Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments.” *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

The revised amended complaint addresses the deficiencies raised by CCA in its dismissal motion and there are no grounds under the Federal Rules warranting denial of the proposed amendment. The question of whether the revised amended complaint should be dismissed, as argued by CCA, and the potential filing of another motion to dismiss, are addressed below. As the likelihood of success is low, the amendment is not futile. The revised amended complaint addresses the procedural issues initially raised by CCA. Moreover, CCA’s consent is not required to permit an amended complaint. Complainant will thus be allowed to amend its complaint.

By this order, the Office of the Secretary is requested to serve the revised amended complaint. In addition, the parties must file a joint status report with proposed schedule as required by the initial order within 15 days of filing of the answer.

III. Motion to Dismiss

CCA moves to dismiss MTL’s complaint on the grounds that the Commission lacks subject matter and personal jurisdiction over the claims in the complaint because CCA is not an entity over whom the Commission has jurisdiction but rather, an agent for CMA CGM S.A., a VOCC; the complaint fails to meet minimum pleading standards because the complaint “merely ‘offers labels and conclusions and is devoid of facts which do nothing more than tender naked allegations;’” the complaint raises contract law disputes, rather than Shipping Act claims, and fails to set forth allegations of any normal, customary, and continuous practice with regard to the allegations of a violation of 46 U.S.C. 41102(c). Dismissal Motion at 1-7.

The CCA motion to dismiss is based on the allegations in the original complaint. CCA opines that while an amended complaint complying with the terms it specified “would effectively moot the current motion to dismiss as to CCA and leave it for CMA CGM S.A. This does not mean, however, that the Amended Complaint resolves all of the issues raised by the Motion to Dismiss – it doesn’t.” Response to Amended Complaint Motion and Dismissal Reply at 3. As an example, CCA points to MTL’s contention that CCA could be considered to be an ocean common carrier based on the fact that CCA’s name appeared on an invoice issued to MTL. CCA states that “[o]ther issues, such as the inadequate allegation of a practice, would be left for subsequent resolution after the Amended Complaint.” Response to Amended Complaint Motion and Dismissal Reply at 3-4.

CCA's motion to dismiss MTL's original complaint is now moot, given that MTL has been granted leave to amend its complaint and the revised amended complaint supersedes the original complaint. Respondents' motion to dismiss is, therefore, denied. However, the arguments, which may apply to the amended complaint, are addressed briefly below to provide guidance and avoid unnecessary motions practice.

A. Dismissal for Lack of Jurisdiction

CCA contends that it is not an entity subject to the Commission's jurisdiction and that the Commission lacks subject matter jurisdiction over MTL's claim. However, MTL alleges that the "FMC has subject matter jurisdiction over the claims in this action as the above-captioned matter involves contracts for carriage of goods by sea." Amended Complaint at 2. Further, MTL alleges that "there can be no dispute as to whether [CCA] transported all of the subject shipments, as for example, one of their demurrage invoices establishes." Dismissal Opposition and Amended Complaint Motion at 3. MTL has sufficiently pled that the complaint involves a matter arising under the Shipping Act and that CCA acted as a common carrier with regard to the subject shipments. As such, the Commission has jurisdiction to adjudicate MTL's claims. A ruling on the veracity of MTL's allegations is premature prior to discovery. Allowing the case to proceed to discovery would help determine whether CCA acted as a common carrier with regard to the shipments at issue. This raises a factual issue, not resolved based on only CCA's assertion that it acted at all times during a particular shipment only as an agent.

B. Dismissal for Inadequate Allegation of a Practice

CCA states that the complaint fails to adequately plead that the alleged unreasonable acts by Respondent rise to the level of a practice, as required to sustain a claim for reparations under section 41102(c). The revised amended complaint alleges that Respondent failed to establish, observe, and enforce just, reasonable, regulations and practices relating to or connected with receiving, handling, storing, or delivery of property with regard to the subject shipments. Amended Complaint at 9. The amended complaint sufficiently alleges a violation of section 41102(c). Complainant does not have to prove at this early stage in the proceeding that the alleged conduct amounted to a practice. Allowing the case to proceed to discovery will allow the parties to uncover evidence pertinent to the issue whether the alleged conduct occurred on a normal, customary, and continuous basis.

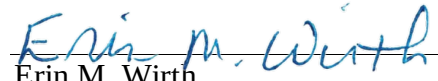
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that the revised motion to amend the complaint be **GRANTED**. The Secretary is requested to serve the revised amended complaint. Respondents must respond to the amended complaint within 25 days of service of the amended complaint. It is

FURTHER ORDERED that Respondent's motion to dismiss be **DENIED AS MOOT**. It is

FURTHER ORDERED that the parties shall submit a joint status report with proposed schedule within 15 days of service of Respondents' answer.


Erin M. Wirth
Chief Administrative Law Judge